WAVERLEY GATEWAY GUIDE

Connecting International Capital with Emerging & Frontier Markets

ARMENIA

Eurasia

Information current as of October 2026

Dialogue | Trust | Partnership

office@lordwaverley.com
www.lordwaverley.com

WHERE AND HOW TO ENTER

KEY INVESTMENT LOCATIONS

Location / Region	Strategic Importance	Priority Sectors
Yerevan	Capital and commercial centre; home to the country's banking, IT and services base and to the Alliance (high-tech) and Meridian (jewellery and diamond-cutting) free economic zones	IT, financial services, construction, tourism
Syunik / Meghri (south)	Route of the 43 km Trump Route for International Peace and Prosperity (TRIPP), a US–Armenia transit project linking Azerbaijan with Nakhchivan through Armenian territory under Armenian law	Rail, road and energy transit, fibre optics, logistics
Meghri Free Economic Zone (Iran border)	Free economic zone on Armenia's southern border with Iran, positioned on the trade route that carries around 20–25% of Armenia's foreign trade	Cross-border trade, processing, logistics
Kajaran / Kapan (Syunik mining belt)	Home of the Zangezur Copper and Molybdenum Combine, the largest mining company and largest taxpayer, and one of the world's ten leading molybdenum producers	Copper and molybdenum mining, mining services
Gyumri / Shirak (north-west)	Armenia's railhead toward Kars; Armenia and Türkiye agreed in 2025 to reopen the Gyumri–Kars railway, and Türkiye has begun restoring its Akyaka–Gyumri section	Rail logistics, manufacturing, cross-border trade
North–South road corridor (Iran border to Georgia border)	Spine linking southern trade with Georgia's Black Sea route; new southern road works aim to cut about 100 km and two hours from the journey	Road construction, transport, warehousing
Free economic zones (Alliance, Meridian, Meghri, Ecos in Hrazdan)	Four zones offering exemptions from VAT, profit tax, customs duties and property tax for qualifying activities	Advanced technology, jewellery, manufacturing, export processing

INVESTOR ENTRY ROUTES

- Enterprise Armenia (formally the Investment Support Center), the national investment promotion agency, providing guidance on investment, company registration and incentives

- Law on Foreign Investment (1994) granting national treatment and protection against expropriation, reinforced by bilateral investment treaties with 40 countries (including the US–Armenia BIT) and membership of the ICSID and New York Conventions
- Four free economic zones (Alliance, Meridian, Meghri and Ecos) offering exemptions from VAT, profit tax, customs duties and property tax
- Central Bank of Armenia oversight of a freely convertible dram under a managed float, with no restrictions on converting, transferring or repatriating capital, profits and dividends
- TRIPP Development Company, the US–Armenia vehicle (74% US, 26% Armenia) for the TRIPP transit route, which is able to bring in partners for individual projects
- Co-investment alongside development finance institutions, including the EBRD (€3.2 billion invested across 249 projects), the ADB ($2.1 billion committed) and the US DFC
- Export-oriented entry using the EU Comprehensive and Enhanced Partnership Agreement (CEPA) and EU GSP+ preferences alongside tariff-free access to the Eurasian Economic Union

MARKET-ENTRY OBSERVATION

Armenia in October 2026 is one of the fastest-growing economies in the wider region. GDP grew 7.2% in 2025, led by construction (+21%), information and communications (+18.6%) and finance and insurance (+14.7%), and growth reached 6.7% year-on-year in the second quarter of 2026, with economic activity up 7.3% in January–August. Fundamentals are sound: public debt fell to 41.7% of GDP at end-July 2026 from 46.8% at end-2025, gross reserves stood at $6.2 billion (4.1 months of imports), and the budget recorded a surplus in the first half of 2026. Foreign direct investment into the real sector rose to about $605 million in 2025 from $132 million in 2024, led by investors from the United States, Luxembourg, Kazakhstan, Singapore, Switzerland and France. The June 2026 parliamentary elections returned the governing Civil Contract party with a majority of 64 of 105 seats, supporting policy continuity, while a precautionary IMF Stand-By Arrangement, deepening EU partnership and the US-backed TRIPP framework signed in June 2026 underpin the reform and connectivity agenda.

Armenia's main structural challenge is connectivity: two of its four land borders, with Azerbaijan and Türkiye, remain closed, and up to a quarter of foreign trade passes through Iran, which was affected by the regional conflict from February 2026. The economy has proved resilient: the Iranian border stayed open to cargo, a ceasefire took effect in April, and growth accelerated in the second quarter. Armenia is also turning the challenge into opportunity. The peace agreement with Azerbaijan was initialled at the White House in August 2025 and the government aims to sign and ratify it before 2031; the TRIPP route is moving through ratification; Armenia and Türkiye are preparing to reopen the Gyumri–Kars railway; and new southern road works are shortening the north–south corridor. Each of these opens the prospect of Armenia becoming a transit hub under the government's Crossroads of Peace initiative, with early-mover opportunities in logistics, infrastructure and services.

INVESTOR RISK & MARKET ACCESS

KEY ENTRY BARRIERS

Issue	Potential Impact	Possible Mitigation
Closed borders with Azerbaijan and Türkiye	Two of Armenia's four land borders remain closed, adding to trade costs; the peace agreement with Azerbaijan was initialled in August 2025 but is not yet signed, with Baku seeking constitutional changes that would require a referendum	Normalisation is advancing on several tracks — TRIPP, the Gyumri–Kars railway and the peace process — creating a pipeline of transit and logistics opportunities for investors positioned early
Trade route exposure to Iran and the Middle East	Around 20–25% of Armenia's foreign trade passes through Iran; the conflict from February 2026 slowed some shipments, although the border remained open and a ceasefire took effect in April	Build routing flexibility via Georgia into supply chains; TRIPP and the reopening of western routes will add alternatives over time
Sanctions and export-control compliance (Russia nexus)	Armenia is not under sanctions, but as an EAEU member with close trade links to Russia, banks report difficulties with Russia-linked transactions, and dual-use exports are subject to licensing aligned with the US, EU and UK Common High Priority List	Conduct counterparty and end-use due diligence with sanctions counsel; investors focused on domestic, EU-facing and Western-partnered activity face a straightforward compliance environment

Issue	Potential Impact	Possible Mitigation
Inflation above target and monetary tightening	Inflation was 4.4% in August 2026 against a 3% target, and the Central Bank raised its policy rate to 6.75% in September	The dram appreciated 3.7% against the US dollar in January–July 2026 and the IMF expects inflation to return to target; apply standard hedging and plan for moderately higher local borrowing costs
Small domestic market	A population of about 3 million limits domestic scale for consumer-facing businesses	Use Armenia as a base for exports under EAEU, EU GSP+ and CEPA arrangements, and for services and IT exported globally
Export concentration in metals and precious metals	Gems and precious metals made up 61.7% of 2024 exports, with copper and molybdenum also prominent	Rapid growth in IT, finance and construction is broadening the base; diversification creates openings in agro-processing, tourism and manufacturing
Governance and dispute resolution	Armenia scores 47 on the 2024 Corruption Perceptions Index (above the global average of 43), and the US State Department notes instances of government minority stakes in major companies	Rely on BIT protections, ICSID and New York Convention coverage and the Arbitration and Mediation Center of Armenia; the anti-corruption strategy for 2023–2026 continues reform

INVESTOR RISK NOTE

Armenia's risk profile is that of a fast-growing, reform-minded economy whose principal constraints are geographic and regional rather than macroeconomic. Growth of 7.2% in 2025 and 6.7% in the second quarter of 2026, falling public debt, a budget surplus in the first half of 2026 and reserves of $6.2 billion show that the fundamentals are sound, and the IMF describes external and financial-sector buffers as strong. The closed borders with Azerbaijan and Türkiye and the reliance on Iranian routes are real considerations, but the direction of travel is positive: a peace agreement initialled in August 2025, the US-backed TRIPP framework, renewed work on the Gyumri–Kars railway and a decisive election result in June 2026 that supports continuity. Armenia is not subject to sanctions; however, its EAEU membership and Russian trade links mean that investors should apply rigorous counterparty, end-use and sanctions screening with qualified counsel, particularly for trade, dual-use goods and financial flows. With that discipline in place, investors can position for Armenia's emergence as a regional transit and services hub.

MARKET ACCESS

Armenia has been a member of the Eurasian Economic Union (EAEU) since January 2015, giving tariff-free access to Russia, Belarus, Kazakhstan and Kyrgyzstan, and benefits from the EAEU's free-trade agreement with Iran. It joined the WTO in 2003 and has a Comprehensive and Enhanced Partnership Agreement with the EU in force since March 2021, alongside EU GSP+ preferences giving duty-free access for around 66% of EU tariff lines; the EU Integration Act of 2025 and the first EU–Armenia Summit in Yerevan in May 2026 signal a deepening relationship, supported by the EU's €270 million Resilience and Growth Plan. A Trade and Investment Framework Agreement with the United States has been in place since 2015. Leading export markets include the UAE, Russia, Hong Kong and China. Trade currently flows north through Georgia to the Black Sea and south through Iran, and the TRIPP route, the planned reopening of the Gyumri–Kars railway and the Crossroads of Peace initiative are set to add east–west links that would connect Armenia more directly to Türkiye, Azerbaijan and the Middle Corridor.

WHO SHOULD THE INVESTOR MEET?

INSTITUTIONAL LANDSCAPE

Actor	Why It Matters	Waverley Engagement Angle
Office of the Prime Minister (Nikol Pashinyan)	Leads government policy in Armenia's parliamentary system, including the peace process, the Crossroads of Peace initiative and EU integration; renewed mandate in June 2026	Primary reference point for Armenia's strategic and economic direction
Enterprise Armenia	National investment promotion agency; principal facilitation body for foreign	Standard first point of contact for market entry, registration and incentive guidance

Actor	Why It Matters	Waverley Engagement Angle
	investors	
Central Bank of Armenia	Monetary authority targeting 3% inflation; manages the freely convertible dram and supervises the banking sector	Relevant for currency, banking and financial-services matters
Ministry of Economy	Leads economic and investment policy and reports official investment data, including the 2025 rise in FDI	Key counterpart for sector strategy and incentive frameworks
Ministry of Foreign Affairs	Signed the TRIPP framework with the United States in June 2026 and leads diplomacy on the peace process and the EU partnership	Relevant for understanding connectivity projects and Armenia's diplomatic positioning
TRIPP Development Company / US International Development Finance Corporation (DFC)	US–Armenia vehicle (74% US, 26% Armenia) with a 49-year right to develop the TRIPP route, backed by the DFC	Key counterpart for transit, infrastructure and logistics investment along the southern corridor
Zangezur Copper and Molybdenum Combine	Armenia's largest mining company and largest taxpayer, in which the government holds a 21% stake	Reference point for mining, mining services and Syunik regional investment

CURRENT INTERNATIONAL BUSINESS CHANNELS

The American Chamber of Commerce in Armenia, founded in 2000 and representing more than 170 member companies, is the leading independent business association and an active voice in policy advocacy. Enterprise Armenia provides direct facilitation and incentive guidance. The EBRD, which has invested €3.2 billion across 249 projects and is implementing a 2025–30 strategy focused on private-sector competitiveness and green infrastructure, the Asian Development Bank ($2.1 billion committed) and the World Bank are all active in the country, and the US DFC has added a new channel through its backing of TRIPP. The EU's partnership framework, including the Resilience and Growth Plan, offers further entry points for European investors.

INVESTOR PROFILE BEST SUITED

Armenia suits investors seeking exposure to a fast-growing, well-managed economy at an early stage of regional reconnection: technology and IT investors drawing on a high-tech workforce that has grown to more than 30,000 and on the Alliance and Ecos zones; infrastructure, logistics and construction investors positioning for TRIPP, the Gyumri–Kars railway and north–south road works; mining and mining-services investors in the Syunik belt; and export-oriented manufacturers and agro-processors using EAEU, CEPA and GSP+ access. Development-finance co-investors and diaspora-linked investors are well placed to move early, and all investors should build sanctions screening and routing flexibility into their plans.

FROM INTELLIGENCE TO ENGAGEMENT

STEP 1: Engage Enterprise Armenia and the Ministry of Economy
Open direct dialogue on sector priorities, registration and the incentives available in the free economic zones.

STEP 2: Structure the investment around treaty and arbitration protections
Use applicable bilateral investment treaties, ICSID and New York Convention coverage, and take Armenian legal and sanctions advice on counterparties and end-use.

STEP 3: Track connectivity milestones
Follow TRIPP ratification and the TRIPP Development Company's partner process, the Gyumri–Kars railway and the peace process, which together define the transit opportunity.

STEP 4: Build routing and currency resilience into planning
Plan for alternative routes via Georgia and Iran and apply standard hedging while inflation returns to the 3% target.

STEP 5: Co-invest alongside development finance institutions
Approach the EBRD, ADB, World Bank and US DFC for co-financing in infrastructure, energy, SMEs and technology.